KO 1 3.1.1 | Why Businesses Exist, Mission & Objectives

AQA A-LEVEL BUSINESS 7132 - UNIT 3.1 WHAT IS BUSINESS?

WHY BUSINESSES EXIST

Businesses exist to provide goods and services that meet customer needs. In doing this they create value for their owners and other stakeholders.

Most private sector businesses aim to make a profit. Public sector organisations, charities and social enterprises may put a service or social purpose first.

What a business is trying to achieve depends on who owns it, how big it is and what stage it has reached.

BUSINESS OBJECTIVES

Profit - a reward for the owners and a source of finance for investment.

Growth - measured by revenue, market share, number of outlets or employees.

Survival - often the priority for a start-up, or for any firm in a recession.

Cash flow - having enough cash to pay bills when they are due.

Social and ethical - e.g. cutting carbon emissions, paying suppliers fairly, supporting the local community.

MISSION AND OBJECTIVES

A mission statement sets out the overall purpose and values of a business. It is usually qualitative and long term.

Objectives turn the mission into targets that can be measured. Mission → corporate objectives → strategy → functional objectives.

If the objectives do not support the mission, the mission is just words on a website.

WHY SET OBJECTIVES?

Objectives give managers direction and focus, help departments work towards the same targets and give a basis for deciding how to use resources.

They also allow performance to be measured and reviewed, and can motivate staff if they are realistic and staff have been involved in setting them.

Objectives are most useful when they are measurable and have a time limit, e.g. increase revenue by 10% within two years.

EXAM TRAP

Do not assume a business's main objective is profit. Check the ownership and the situation first - a social enterprise, or a start-up in its first year, may rank other objectives higher.

ANALYSIS CHAIN

Clear objective → managers allocate resources towards the same target → departments coordinate → less waste and duplication → objective more likely to be achieved.

TOP GRADE CONNECTION

Objectives only make sense in context. A survival objective is sensible in a downturn but may hold the business back once conditions improve. Judge which objective matters most for this business now.

KO 2 3.1.1 | Measuring Profit

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REVENUE AND COSTS

Revenue (also called turnover or sales) = selling price × quantity sold.

Fixed costs do not change with output in the short run, e.g. rent, salaries, insurance.

Variable costs change directly with output, e.g. raw materials, packaging, piece-rate pay.

Total variable costs = variable cost per unit × output.

Total costs = fixed costs + total variable costs.

CALCULATING PROFIT

Profit = total revenue - total costs. If the answer is negative, the business has made a loss.

Worked example - a café sells 4,000 coffees a month at £3.00. Variable cost is £0.80 per coffee and fixed costs are £6,000 a month.

Revenue = 4,000 × £3.00 = £12,000

Total costs = £6,000 + (4,000 × £0.80) = £9,200

Profit = £12,000 - £9,200 = £2,800 per month

WHY PROFIT MATTERS

Profit is the reward to owners for taking a risk and investing their money.

Retained profit is the main internal source of finance for investment and growth.

Profit is a signal to shareholders, banks and other lenders that the business is worth investing in.

It is a common measure of how well the business and its managers are performing.

PROFIT IS NOT CASH

Profit compares revenue with costs over a period. Cash is the money actually in the bank.

A profitable business can still run out of cash, for example if customers pay late or a lot of money is tied up in inventory.

This links to cash flow forecasting and the three measures of profit in Unit 3.5.

EXAM TRAP

Total revenue is not total costs plus total contribution, because total costs already include fixed costs. Total contribution = revenue - total variable costs. Always show £ signs in your answer.

ANALYSIS CHAIN

Cheaper supplier → lower variable cost per unit → total costs fall at every level of output → profit rises, as long as quality and sales are not affected.

TOP GRADE CONNECTION

A rise in profit is not automatically good news. Ask why it rose: a one-off price rise or a cost cut that damages quality may not last. Compare profit with revenue and with previous years.

KO 3 3.1.2 | Forms of Business

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SOLE TRADERS, LTDS AND PLCS

Sole trader - one owner, keeps all the profit and has full control, but has unlimited liability and limited access to finance.

Private limited company (Ltd) - a separate legal identity from its owners and limited liability. Shares are sold privately and existing owners can control who buys them.

Public limited company (plc) - can sell shares to the public on a stock exchange and raise large sums, but faces greater disclosure, shareholder pressure and the risk of takeover.

LIABILITY AND SHARE CAPITAL

Unlimited liability - the owner is personally responsible for all the business's debts, so personal assets such as a house are at risk.

Limited liability - shareholders can lose only the money they have invested.

Ordinary share capital - money raised by selling shares. It does not have to be repaid. Ordinary shareholders usually get votes and a share of the profit paid as dividends.

PUBLIC SECTOR, NON-PROFIT AND SOCIAL ENTERPRISE

Private sector organisations are owned by individuals or shareholders. Public sector organisations are owned or controlled by the government, e.g. the NHS.

Non-profit organisations, such as charities, use any surplus for their purpose rather than paying it to owners.

Social enterprises trade like a business but have a social or environmental purpose and reinvest most of their profit in it.

WHY CHANGE FORM?

Sole trader → Ltd - limited liability, easier to raise finance, more credibility with suppliers and customers.

Ltd → plc - raise large amounts of share capital to fund growth; original owners can sell some of their shares.

plc → Ltd (going private) - escape short-term pressure from the stock market, publish less information and keep control.

EXAM TRAP

A Ltd cannot sell shares to the public - only a plc can. Limited liability protects the shareholders, not the company, which still owes its debts. A plc is in the private sector, not the public sector.

ANALYSIS CHAIN

Sole trader becomes a Ltd → owner's personal assets protected → more willing to borrow and invest in expansion → faster growth, although accounts become public and admin costs rise.

TOP GRADE CONNECTION

The right form depends on the owner's priorities: control, how much finance is needed and attitude to risk. Floating as a plc brings capital but can shift objectives towards short-term returns.

KO 4 3.1.2 | Shareholders, Share Price & Ownership

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WHY SHAREHOLDERS INVEST

Dividends - a share of the profit paid out, usually as an amount per share.

Capital gain - selling the shares later for more than was paid for them.

Voting rights - shareholders vote at the AGM, elect directors and can influence decisions.

Many shares are held by institutions such as pension funds, which need steady returns for their own members.

MARKET CAPITALISATION AND DIVIDENDS

Market capitalisation = number of shares issued × current share price.

Example - 20 million shares × £2.50 = £50 million.

Directors decide how much profit to pay out as dividends. A higher dividend pleases shareholders now, but leaves less retained profit for investment.

SHARE PRICE - CAUSES AND EFFECTS

Share prices are set by supply and demand for the shares. They are affected by profit forecasts, dividend announcements, new contracts or products, takeover rumours, changes of management and economic conditions such as interest rates.

A falling share price makes a takeover cheaper, makes it harder to raise new share capital and reduces shareholders' wealth. Day-to-day changes often make no difference to how the business is run.

OWNERSHIP, MISSION AND OBJECTIVES

In owner-managed and family businesses, the mission often reflects the founder's values and long-term control matters.

In a plc, ownership and control are separated. Shareholders can push directors towards short-term profit and dividends.

Employee-owned businesses, social enterprises and the public sector may put members, purpose or service ahead of profit.

EXAM TRAP

Market capitalisation is not the value of the company's assets or its revenue. It is what the market values the shares at today, and it changes every time the share price moves.

ANALYSIS CHAIN

Profit warning → investors expect lower future dividends → demand for the shares falls → share price falls → market capitalisation falls → business becomes easier to take over.

TOP GRADE CONNECTION

Shareholders are not all the same. Short-term investors may want dividends now, while long-term holders may back investment that cuts this year's profit. Whether short-termism is a problem depends on who owns the shares.

KO 5 3.1.3 | The External Environment: Costs & Demand

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COMPETITION AND MARKET CONDITIONS

More competitors give customers more choice. Each firm may sell less or have to cut prices, which squeezes margins. Competition can also push firms to cut costs and innovate.

Market conditions: is the market growing, static or shrinking? In a growing market a business can increase sales without taking customers from rivals. In a shrinking market, competition usually becomes fiercer.

INCOMES

When real incomes rise, demand for most products increases, especially luxury items such as holidays and eating out.

Demand for inferior goods, such as budget own-label products, may fall as customers trade up.

When incomes fall the opposite happens, and discount retailers can gain at the expense of premium brands.

INTEREST RATES

Costs - higher interest rates increase the cost of loans and overdrafts. This hits highly geared businesses hardest.

Demand - households with mortgages and credit card debt have less to spend. Demand for products often bought on credit, such as cars and furniture, tends to fall. Saving also becomes more attractive than spending.

DEMOGRAPHICS, ENVIRONMENT AND FAIR TRADE

Demographic factors - the size and structure of the population. An ageing population increases demand for healthcare and leisure for older people; migration can increase both labour supply and demand.

Environmental issues - customers may prefer sustainable products, while regulation and green taxes can raise costs.

Fair trade - guaranteed minimum prices to producers raise input costs but can support a premium price and reputation.

EXAM TRAP

Be clear whether you are analysing the effect on costs or on demand, and say which. An interest rate rise can affect both - finance costs go up and customer spending goes down.

ANALYSIS CHAIN

Interest rates rise → mortgage repayments rise → households have less disposable income → demand for non-essential items such as new kitchens falls → revenue and profit fall.

TOP GRADE CONNECTION

The same change affects businesses differently. A rise in interest rates matters far more to a highly geared firm selling items bought on credit than to a cash-rich supermarket selling essentials. Use the case to judge the size of the impact.